**MODEL QUESTION PAPER----- SET 1**

**BUSINESS REGULATORY FRAMEWORK**

(Time: 3 hours)

(Maximum marks: 75)

PART A

I Answer all questions in one word or one sentence. Each question carries one mark.
(9 x 1 = 9 marks)

| | | | |
|---|---|---|---|
| 1 | The term contract is defined in section……...of the Indian Contract Act. | M 1.01 | R |
| 2 | State the nature of consent required to form a valid contract. | M 1.02 | R |
| 3 | ……is a stipulation essential to the main purpose of the contract, the breach of which gives rise to a right to treat the contract as repudiated. | M2.03 | R |
| 4 | State the section of unpaid seller according to the Sale of Goods Act , 1930. | M2.04 | R |
| 5 | State the meaning of residential director in corporate law? | M3.03 | R |
| 6 | Section……of the Companies Act, 2013 deals with the removal of a director | M3.03 | R |
| 7 | Every listed public company shall have at least one- third of the total number of directors as…….. | M3.04 | R |
| 8 | ……..meeting is to be called by the company only once its life time | M4.01 | R |
| 9 | Write the meaning of the term formal motion | M4.04 | R |

PART B

II Answer any eight questions from the following. Each question carries 3 marks
(8 x 3 = 24marks)

| | | | |
|---|---|---|---|
| 1 | Identify contracts on the basis of performance | M1.01 | U |
| 2 | A invited B to a dinner and B accepted the invitation. Ascertain the validity of the contract | M1.02 | A |
| 3 | List the remedies for breach of contract | M1.04 | U |
| 4 | X sold a tin of disinfectant powder to Y, knowing that it was likely to be dangerous but tells nothing to her. While opening the tint the disinfectant powder went into Y's eyes and caused her injury. Is X liable to pay damages to Y? Examine the reason. | M2.03 | A |
| 5 | List the role of Board of directors in a company | M3.02 | R |
| 6 | A is the director of a company. He does not attended the board meeting for one yeareven after giving notice for all the meetings. So he will be vacated. Examine the rule relating to | M3.03 | A |

| | | | |
|---|---|---|---|
| | vacation of office of A. | | |
| 7 | Summarise the role of an independent director in a company | M3.04 | U |
| 8 | List the important committees constituted by the Board of directors | M3.05 | R |
| 9 | List the different types of meeting of the company | M4.01 | R |
| 10 | The board of directors of a private limited company wishes to change its name and for which they are going to pass a resolution in the general meeting. Examine the type of resolution required for the same. | M4.04 | A |

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III Differentiate between Agreement and Contract M1.01 U

OR

IV List the essentials of valid consideration M1.02U

V Compare sale and agreement to sell M2.01 U

OR

VI Explain the rights available to an unpaid seller against the goods M2.04 U

VII Describethe provisions of appointment of a director in a companyM3.03 U

OR

VIII Explain the method of giving remuneration to a director M3.03 U

IX List the duties of an independent director M3.04 R

OR

XExplain the role of Audit Committee in corporate governance M3.05 U

XI Explainthe provisions of holding Annual General Meeting of the CompanyM4.02 U

OR

XII List the matters requiring special resolution M4.04 U

XIII List the items to be included while writing minutes of the meetingM4.03 U

OR

XIV Describe the notice of Annual General Meeting of the company M4.03 U

Question wise Analysis

Course: Business Regulatory Framework SET 1

| Qn.No. | Module Outcome | Cognitive Level | Marks | Time |
|---|---|---|---|---|
| I.1 | M1.01 | Remembering | 1 | 2mnt. |
| I.2 | M1.02 | Remembering | 1 | 2mnt |
| I.3 | M2.03 | Remembering | 1 | 2mnt |
| I.4 | M2.04 | Remembering | 1 | 2mnt |
| I.5 | M3.03 | Remembering | 1 | 2mnt |
| I.6 | M3.03 | Remembering | 1 | 2mnt |
| I.7 | M3.04 | Remembering | 1 | 2mnt |
| I.8 | M4.01 | Remembering | 1 | 2mnt |
| I.9 | M4.04 | Remembering | 1 | 2mnt (9x2=18mnts) |
| II.1 | M1.01 | Understanding | 3 | 9mnts |
| II.2 | M1.02 | Applying | 3 | 9mnts |
| II.3 | M1.04 | Understanding | 3 | 9mnts |
| II.4 | M2.03 | Applying | 3 | 9mnts |
| II.5 | M3.02 | Remembering | 3 | 9mnts |
| II.6 | M3.03 | Applying | 3 | 9mnts |
| II.7 | M3.04 | Understanding | 3 | 9mnts |
| II.8 | M3.05 | Remembering | 3 | 9mnts |
| II.9 | M4.01 | Remembering | 3 | 9mnts |
| II.10 | M4.04 | Applying | 3 | 9mnts (8x9=72mnts) |
| III | M1.01 | Understanding | 7 | 15mnts |
| IV | M1.02 | Understanding | 7 | 15mnts |
| V | M2.01 | Understanding | 7 | 15mnts |
| VI | M2.04 | Understanding | 7 | 15mnts |
| VII | M3.03 | Understanding | 7 | 15mnts |
| VIII | M3.03 | Understanding | 7 | 15mnts |
| IX | M3.04 | Remembering | 7 | 15mnts |
| X | M3.05 | Understanding | 7 | 15mnts |
| XI | M4.02 | Understanding | 7 | 15mnts |
| XII | M4.04 | Understanding | 7 | 15mnts |
| XIII | M4.03 | Understanding | 7 | 15mnts |
| XIV | M4.03 | Understanding | 7 | 15mnts (6x15=90mnts) |

Course: Business Regulatory Framework

Blue Print

Mark Distribution

| Module | Hr/mod | Marks/ | Type of Questions | | | |
|---|---|---|---|---|---|---|
| | | | Part A | Part B | Part C | Total |

| | | | No. of questions | Marks | No. of questions | Marks | No. of questions | Marks | No. of questions | Marks |
|---|---|---|---|---|---|---|---|---|---|---|
| 1 | 13 | 25 | 2 | 2 | 3 | 9 | 2 | 14 | 7 | 25 |
| 2 | 10 | 19 | 2 | 2 | 1 | 3 | 2 | 14 | 5 | 19 |
| 3 | 21 | 43 | 3 | 3 | 4 | 12 | 4 | 28 | 11 | 43 |
| 4 | 14 | 36 | 2 | 2 | 2 | 6 | 4 | 28 | 8 | 36 |
| Total | 60 | 123 | 9 | 9 | 10 | 30 | 12 | 84 | 31 | 123 |

Blue Print
Cognitive Level Mark Distribution

| Cognitive Level | Marks | % of Marks |
|---|---|---|
| Remembering | 25 | 20% |
| Understanding | 86 | 70% |
| Applying | 12 | 10% |
| Analysing | - | - |
| Evaluating | - | - |
| Creating | - | - |
| TOTAL | 123 | 100% |

**SCHEME OF VALUATION**

**BUSINESS REGULATORY FRAMEWORK**

Model Question..Set 1

| Qn.N | Scoring Indicator | Score |
|---|---|---|

| o | | |
|---|---|---|
| I | PART A | |
| 1 | Section2(h) | |
| 2 | Free consent | One mark for each answer |
| 3 | Condition | |
| 4 | Section 45 | |
| 5 | Residential Director is a director who has stayed in India for a total period of not less than 182 days in the previous calendar year. | |
| 6 | Section 167 | |
| 7 | Independent directors | |
| 8 | Statutory | |
| 9 | It is a formal proposal by a member to do something | (9x1=9) |
| | ---------- | |
| | PART B | |
| II 1 | Executed contract: Both the parties have completely performed their obligations under the contract.<br>Executory contract: Obligations of the parties are to be performed at a later time<br>Unilateral contract: The obligation is outstanding only against one of the parties at the time of formation of the contract<br>Bilateral contract: Obligation on the part of both the parties to the contract are outstanding at the time of formation of the contract.<br>---------- | |
| 2 | It is a social agreement. There is no intention to create a legal obligation. Hence, the contract is invalid.<br>----------When one of the parties in a contract refuses to perform his promise, he is said to have committed a breach of contract. When breach arises the injured party has | Three marks for each answer. The candidate can choose any eight questions to answer out of ten. |
| 3 | one or more of the following remedies:<br>(1)Suit for Rescission (2)Suit for Damages (3)Suit upon Quantum Meruit (4)Suit for Specific performance (5)Suit for injunction<br>---------- | |
| 4 | Yes, X is liable to pay damages to Y as he should have the knowledge of the danger, but concealed. Here we can apply the rule of ***Warranty toDisclose Dangerous Nature of Goods***which says that goods sold are of dangerous nature, the seller willwarn the ignorant buyer of the probable danger. If there is a breach, the buyer is entitled to claim compensation for the injury caused to him.<br>---------- | |
| 5 | The board oversees the conduct of the business and supervises management. The corporate statutes allow directors to delegate certain powers to the officers of the corporation such as the Chief Executive Officer and Chief Financial Officer. The board delegate responsibility for the company's day to day affairs to the executives.<br>----------<br>Section167 of the Companies Act,2013 says that a director absents himself from all the meetings of the Board of Directors held during a period of twelve months with or without seeking leave of absence of the board, he is liable to vacate the office.<br>---------- | |
| 6 | Independent director acts as a guide to the company. His roles broadly include improving corporate credibility and governance standards functioning as a watchdog, and play a virtual role in risk management. Independent director plays an active role in various committees set up by company to ensure good governance. | |

7

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Audit Committee, Stakeholders Relationship Committee, Nomination and Remuneration Committee, Corporate Social Responsibility Committee, Risk management Committee, Corporate Governance Committee, Corporate Complaints Committee, Ethics Committee

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8

Statutory Meeting, Annual General Meeting, Extraordinary General Meeting, Board Meeting , Class meeting , Creditors meeting , Debenture holders meeting.

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9

The type of resolution is special resolution. Section 13 of the Companies Act, 2013 says that the name of the company can be changed by a special resolution and with the approval of Central Govt. Approval of Central Govt. is not required if the change relates to the addition/deletion of the word "Private" to the name. (8X3=24)

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PART C

10

| Basis | Agreement | Contract |
|---|---|---|
| 1. Definition | Every promise and set of promises forming consideration for each other is an agreement | An agreement enforceable by Law is a contract |
| 2. Formation | Offer and its acceptance constitute an agreement | Agreement and its enforceability constitute a contract |
| 3. Legal obligation | An agreement may or may not create a legal obligation | A contract necessarily creates a legal obligation. |
| 4. One in other | Every agreement need not necessarily be a contract | All contracts are necessarily agreements |
| 5. Scope | Scope of agreement is wider as it covers all types of agreement as well contract | Scope of contract is narrow in comparison as to agreement as it covers only those agreement which are enforceable. |

(7)

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OR

III

(a) Consideration must be at the desire of the promisor
(b) Consideration may move from the promise or any other person
(c)Consideration may be past, present or future
(d)Consideration must be real and not illusory
(e)Consideration must be lawful
(f)Consideration must be something with the promisor is not already bound to do
(g)Consideration must be positive or negative

(7)

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| **Sale** | **Agreement to sell** |
|---|---|
| It is an Executed contract | It is an Executory contract |
| The property in goods transfer from the seller to the buyer immediately | The transfer of property in the goods is to take place at a future time |

IV

V

| | |
|---|---|
| | subject to certain conditions to be fulfilled |
| If the goods are destroyed, the loss falls on the buyers even though they were in the possession of the seller | If the goods are destroyed, the loss falls on the seller, even though they were in the possession of the buyer |
| It creates a right in rem ie; against the whole world | It creates a right in personamie; against a specified person only |
| Performance of sale is absolute and without any condition | Performance is conditional and is made in future |
| The buyer has the right to resell the goods | The property in the goods remains with the seller and he can dispose of the goods as he likes, although he may thereby commit a breach of his contract |
| If the buyer wrongfully neglects or refuses to pay the price of the goods the seller can sue for the price, even though the goods are still in his position. | If the buyer fails to accept and pay for the goods, the seller can only sue for damages and not for the price, even though the goods are in the possession of buyer |

(7)

OR

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Rights of an Unpaid Seller against the Goods
An unpaid seller's right against the goods are:
(a) A lien or right of retention (b) The right of stoppage in transit. (c) The right of resale. (d) The right to withhold delivery.
Right of Lien An unpaid seller in possession of goods sold, may exercise his lien on the goods, i.e., keep the goods in his possession and refuse to deliver them to the buyer until the fulfilment or tender of the price . The lien depends on physical possession. The seller's lien is *possessory lien,* so that it can be exercised only so long as the seller is in possession of the goods. It can only be exercised for the non-payment of the price and not for any other charges.
.
(b) Stoppage in transit: The right of stoppage in transit is a right of stopping the goods while they are in transit, resuming possession of them and retaining possession until payment of the price.
The right to stop goods is available to an unpaid seller
(i) when the buyer becomes insolvent; and
(ii) the goods are in transit.

Answer any one question from the choice. Each answer carries seven marks

VI

(c) Right of re-sale: The unpaid seller may re-sell:
(i) where the goods are perishable;
(ii) where the right is expressly reserved in the contract;
(iii) where in exercise of right of lien or stoppage in transit, the seller gives notice to the buyer of his intention to re-sell, and the buyer, does not pay or tender the price within a reasonable time
(d) Rights to withhold Delivery:. If the property has not passed, the unpaid seller has a right of withholding delivery similar to and co-extensive with his rights of lien and stoppage in transit

(7)

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Appointment of directors
*First Director*
The first directors of most of the companies are named in their articles. If they are not so named in the articles of a company, then subscribers to the

| | | |
|---|---|---|
| VII | memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed.<br>In the case of a One Person Company, an individual being a member shall be deemed to be its first director until the director(s) are duly appointed by the member in accordance with the provisions of Section 152 of the Companies Act, 2013<br>**General provisions relating to appointment of directors**<br>1. Except as provided in the Act, every director shall be appointed by the company in general meeting.<br>2. Director Identification Number is compulsory for appointment of director of a company.<br>3. Every person proposed to be appointed as a director shall furnish his Director Identification Number and a declaration that he is not disqualified to become a director under the Act.<br>4. A person appointed as a director shall on or before the appointment give his consent to hold the office of director.<br>5. Articles of the Company may provide the provisions relating to retirement of all the directors. If there is no provision in the article, then not less than two-thirds of the total number of directors of a public company shall be persons whose period of office is liable to determination by retirement by rotation and eligible to be reappointed at annual general meeting.<br>----------<br>OR<br>There are three ways of managerial remuneration-<br>*Automatically by profits<br>*By shareholders' approval<br>*By shareholders and Central Govt.<br>Remuneration of director under section 197 of the Companies Act, 2013:-<br>1)In case of public company, can pay not more than 11% of the net profit as calculated in a manner laid down in the Companies Act whether it is managing director or whole time directors<br>2)A company having only one managing director, whole time director or manager shall not pay more than 5% of its net profits<br>3)A company has more than one such directors, remuneration shall be payable not more than 11% of the net profit.<br>---------- | (7)<br><br>(7)<br><br>(7) |
| VIII | 1)Undertake appropriate induction and regularly update and refresh their skills, knowledge and familiarity with the company<br>2)Attempt to attend the general meetings of the company<br>3)Attempt to attend Board meetings and Board Committees meeting being a member<br>4)Have adequate knowledge about the company and external environment in which it operates<br>5)Report matters concerning the violation of code and conduct of the company<br>6)Assist in protecting the legitimate interests of the, shareholders and its employees<br>7)Not to obstruct the functioning of the company or committee of the board<br>8) Not to disclose confidential information .<br>9)Participate in the Board's Committee being chairpersons or members of that committee<br>10) Ascertain and ensure that the company has an adequate and functional vigil mechanism and to ensure that the interests of a person who uses such mechanism are not prejudicially affected on account of such use. | |

| | | |
|---|---|---|
| IX | ---------- <br> OR <br> An audit committee is one of the major operating committees of a company's Board of Directors that is in charge of overseeing financial reporting and disclosure. The committee's role are:- <br> 1)The primary purpose of the Audit Committee is to provide oversight of the financial reporting process, the audit process, the company's system of internal control and compliance with laws and regulations. <br> 2) The audit committee can expect to review significant accounting and reporting issues and recent professional regulatory pronouncements to understand the potential impact of financial statements. <br> 3)This committee reviews the results of an audit with management and external auditors, including matters required to be communicated to the committee under generally accepted auditing standards <br> 4)The audit committee is responsible for the appointment, compensation and oversight of the work of the auditor <br> 5)Audit committees meet separately with external auditors to discuss matters that the committee or auditors believe should be discussed privately. <br> 6)Audit committees must have authority over their own budgets and over external auditors. <br> ---------- | (7) |
| X | Following are the key provisions regarding the holding of an annual general meeting: <br> *Holding of annual general meeting* <br> 1. Annual general meeting should be held once every year. <br> 2. First annual general meeting of the company should be held within 9 months from the closing of the first financial year. Hence it shall not be necessary for the company to hold any annual general meeting in the year of its incorporation. <br> 3. Subsequent annual general meeting of the company should be held within 6 months from the closing of the financial year. <br> 4. The gap between two annual general meetings should not exceed 15 months. <br> Extension of validity period of AGM <br> In case, it is not possible for a company to hold an annual general meeting within the prescribed time, the Registrar may, for any special reason, extend the time within which any annual general meeting shall be held. Such extension can be for a period not exceeding 3 months. No such extension of time can be granted by the <br> Registrar for the holding of the first annual general meeting, <br> Time and place for holding an annual general meeting <br> An annual general meeting can be called during business hours, that is, between 9 a.m. and 6 p.m. on any day that is not a National Holiday. It should be held either at the registered office of the company or at some other place within the city, town or village in which the registered office of the company is situate. The Central Government is empowered to exempt any company from these provisions, subject to such conditions as it may impose. "National Holiday" for this purpose means and includes a day declared as National Holiday by the Central Government. | (7) |
| XI | *Default in holding the annual general meeting* <br> Section 99 of the Companies Act, 2013 provides that if any default is made in complying or holding a meeting of the company, the company and every officer of the company who is in default shall be punishable with fine which may extend to Rs. 1 lakh and in case of continuing default, with a further fine | (7) |

| | | |
|---|---|---|
| | which may extend to Rs. 5,000/- for each day during which such default continues.<br>----------<br>OR<br>1) Inclusion of provisions for entrenchment in the articles of association in case of public company.<br>2)Change of registered office of the company outside the local limits of any city, town or village<br>3)To alter the provisions of memorandum<br>4)To alter the articles for conversion of public company into private company and vice versa<br>5)Variation in the terms of a contract referred to in the prospectus or objects for which the prospectus was issued<br>6)To issue depository receipts in any foreign country<br>7)To vary the rights attached to shares<br>8)Further issuance of share capital<br>9)Reduction of share capital<br>10)Issuance of sweat equity shares<br>11)Power of company to purchase its own securities<br>12)Restriction on power of board<br>13)Overall maximum managerial remuneration<br>14)Power of registrar to remove name of company from register of companies etc.<br>----------<br><br>To write effective meeting minutes, include:-<br>1)meeting name and place<br>2)date and time of the meeting<br>3)List of meeting participants<br>4)Purpose of the meeting<br>5)For each agenda items: decisions, action items and next steps<br>6)Next meeting date and place<br>7)documents to be included in the meeting report<br>----------<br>OR<br>Notice of Meeting<br>A general meeting of a company may be called by giving not less than 21 clear days' notice either in writing or through electronic mode. Notice through electronic mode shall be given in such manner as may be prescribed.<br>*Short notice*<br>A general meeting may be called after giving a shorter notice also if consent is given in writing or by electronic mode by not less than 95% of the members entitled to vote at such meeting.<br>Contents of Notice<br>*Place of meeting*<br>The notice should state the place where the general meeting is scheduled to be held. In case of an annual general meeting, the place of the meeting has to be either the registered office of the company or some other place within the city, town or village in which the registered office of the company is situated. No such restriction applies to an extraordinary general meeting.<br>*Day of meeting*<br>The day and date of the meeting should be clearly stated in the notice. In case | (7)<br><br>(7)<br><br>(6x7=42) |
| XII | | |

| | | |
|---|---|---|
| XIII | of an annual general meeting, the day should be one that is not a National Holiday. An extraordinary general meeting can however be held on any day.<br>*Time of meeting*<br>Exact time of holding the meeting should be given in the notice. An annual general meeting can be called during business hours only, that is, between 9 a.m. and 6 p.m. There is no need to follow such timings in case of an extraordinary general meeting.<br>*Agenda*<br>A statement of the business to be transacted at the general meeting should be given in the notice. In case, the meeting is to transact a special business, a explanatory statement should be attached about such item.<br>---------- | |
| XIV | **Scheme of valuation**<br>PART A<br><br>One mark can be given to the correct answer as per the answer key<br><br>PART B<br>Give 3 marks to the complete answer. If only points, 2 marks can be given.<br>----------<br>Give 3 marks considering the nature of agreement with explanation in one or two sentence.<br>----------<br>Give 1 mark to the meaning of the term breach of contract and 2 marks for points.<br>----------<br>Give 1 mark for Yes, one mark for rule of Warranty to Disclose Dangerous Nature of Goods and one mark for the remedy for breach of contract.<br>----------<br>Proportionate marks can be given to points. One mark for one point. Minimum 3 points<br>----------<br>One mark for the correct Section. 2 marks for explanation.<br>----------<br>Minimum 3 point,3 marks<br>----------<br>Correct answer as per key, give 3 marks. Proportionate marks can be given for points<br>---------- | |
| Qn. No. I (1-9) | Correct answer, give 3 marks. Proportionate marks should be given for points.<br>---------- | Marks<br>9 |
| II 1 | 1 mark for the identification of resolution, 1 mark for the Correct section and 1 mark for the content of section.<br>---------- | 3 |
| 2 | PART C | |

| | | |
|---|---|---|
| | | 3 |
| | Full mark for the answer as per answer key. Proportionate marks can be given for points | |
| 3 | For Seven points, give 7 marks | |
| | Seven points of difference, 7 marks. Proportionate marks for points. | 3 |
| | If only the points are written, give 2 marks. Points with explanation , give full marks | |
| 4 | Appointment of first director…1 mark. One person company director..1mark. | |
| | General provisions…5 marks | 3 |
| | Points as per Section 197, give5 marks. Ways of managerial remuneration, give 2marks | |
| | Consider any seven points; give one mark for each point. | |
| 5 | Give one mark for the meaning of Audit Committee. Consider any 6 points relating to role of Audit committee and give one mark for each | 3 |
| | Consider a minimum of 7 points and give 1 mark for each point | |
| | Consider any 14 points and give .5 mark for each point | 3 |
| 6 | Give 1 mark for each point | |
| | Full mark shall be given as per answer key | |
| 7 | ---------- | 3 |
| | | 3 |
| 8 | | |
| | | 3 |
| 9 | | |
| | | 3 |
| 10 | | |
| | | 7 |
| III | | |
| | | 7 |
| IV | | 7 |
| V | | 7 |
| VI | | |
| VII | | 7 |
| VIII | | 7 |
| | | 7 |
| IX | | |
| X | | 7 |
| | | 7 |
| XI | | 7 |
| XII | | 7 |
| XIII | | 7 |
| XIV | | |

**MODEL QUESTION PAPER-- SET 2**

**BUSINESS REGULATORY FRAMEWORK**

(Maximum marks: 75) Time: 3hrs

PART A

**I Answer all questions in one word or sentence. Each question carries one mark (9x1=9 marks)**

| | | | |
|---|---|---|---|
| 1 | Define the term agreement according to the Indian Contract Act | M 1.01 | R |
| 2 | State the meaning of performance of contract | M 1.03 | R |
| 3 | Transfer of property means……. | M 2.01 | R |
| 4 | The term warranty is defined in Section…….. of the Sale of Goods Act, 1930 | M2.03 | R |
| 5 | Directors are collectively known as…… | M3.02 | R |
| 6 | State the meaning of shadow director | M3.03 | R |
| 7 | AGM means…….. | M4.01 | R |
| 8 | Minutes is the ……..of the meting | M4.03 | R |
| 9 | State the meaning of the term resolution according to the Companies Act | M4.04 | R |

**PART B**

II Answer any eight questions from the following. Each question carries three marks **(8x3=24 marks)**

| | | | |
|---|---|---|---|
| 1 | Classify the contracts on the basis of legality | M1.01 | U |
| 2 | A agreed to sell his car to B for Rs.1,00,000. The consent was obtained by use of force. Explain the validity of the contract and its effect. | M1.01 | A |
| 3 | List the essentials of fraud | M1.02 | U |
| 4 | Differentiate between sale and mortgage | M2.02 | **U** |
| 5 | R purchased a second hand car from S who had no title to it. R used the car for three months. R was compelled to return the car to the true owner because S obtained the car by theft. Examine whether R could recover the full price from S. | M2.03 | **A** |
| 6 | List the qualifications of a director | M3.03 | R |
| 7 | Describe the term nominee director according to the Companies Act, 2013 | M3.03 | **U** |
| 8 | Describe the significance of appointing independent director in a company | M3.04 | **U** |
| 9 | The Annual General Meeting of Mangalya Ltd is proposed to be conducted on 21st June 2021 between 8am to 8pm. Express your opinion regarding the time in this statement. | M4.02 | **A** |
| 10 | List the items to be included while writing minutes | M4.03 | R |

PART C

Answer all questions. Each question carries seven marks

**(6x7= 42 Marks)**

| | | |
|---|---|---|
| III List the essentials of valid contract according to section 10 of the Indian Contract Act, 1872 | M1.02 | R |
| OR | | |
| IV Describe the different methods of discharge of contract by agreement | M1.03 | U |
| V Compare contract of sale and hire purchase | M2.02 | U |
| OR | | |
| VI Identify the implied conditions and warranties | M2.03 | U |
| VII List the powers of Board of Directors | M3.02 | R |
| OR | | |
| VIII Describe the steps for the removal of a director from the company | M3.03 | U |
| IX List the criteria for the selection of independent director as per section 149 of the Companies Act | M3.04 | U |
| OR | | |
| X Examine the functions of Corporate Social Responsibility Committee in the corporate governance | M3.05 | A |
| XI Describe the provisions of holding board meeting | M4.02 | U |
| OR | | |
| XII List the agenda of Annual General Meeting | M4.03 | R |
| XIII Explain the three conditions of special resolution as per section 114 of the Companies Act,2013 | M4.04 | U |
| OR | | |
| XIV Give the rules regarding motion | M4.04 | U |

Question wise Analysis

Course: Business Regulatory Framework SET 2

| Qn.No. | Module Outcome | Cognitive Level | Marks | Time |
|---|---|---|---|---|
| I.1 | M1.01 | Remembering | 1 | 2mnts |
| I.2 | M1.03 | Remembering | 1 | 2mnts |
| I.3 | M2.01 | Remembering | 1 | 2mnts |

| | | | | |
|---|---|---|---|---|
| I.4 | M2.03 | Remembering | 1 | 2mnts |
| I.5 | M3.02 | Remembering | 1 | 2mnts |
| I.6 | M3.03 | Remembering | 1 | 2mnts |
| I.7 | M4.01 | Remembering | 1 | 2mnts |
| I.8 | M4.03 | Remembering | 1 | 2mnts |
| I.9 | M4.04 | Remembering | 1 | 2mnts (9x2=18mnts) |
| II.1 | M1.01 | Understanding | 3 | 9mnts |
| II.2 | M1.01 | Applying | 3 | 9mnts |
| II.3 | M1.02 | Understanding | 3 | 9mnts |
| II.4 | M2.02 | Understanding | 3 | 9mnts |
| II.5 | M2.03 | Applying | 3 | 9mnts |
| II.6 | M3.03 | Remembering | 3 | 9mnts |
| II.7 | M3.03 | Understanding | 3 | 9mnts |
| II.8 | M3.04 | Understanding | 3 | 9mnts |
| II.9 | M4.02 | Applying | 3 | 9mnts |
| II.10 | M4.03 | Remembering | 3 | 9mnts (8x9=72mnts) |
| III | M1.02 | Remembering | 7 | 15mnts |
| IV | M1.03 | Understanding | 7 | 15mnts |
| V | M2.02 | Understanding | 7 | 15mnts |
| VI | M2.03 | Understanding | 7 | 15mnts |
| VII | M3.02 | Remembering | 7 | 15mnts |
| VIII | M3.03 | Understanding | 7 | 15mnts |
| IX | M3.04 | Understanding | 7 | 15mnts |
| X | M3.05 | Applying | 7 | 15mnts |
| XI | M4.02 | Understanding | 7 | 15mnts |
| XII | M4.03 | Remembering | 7 | 15mnts |
| XIII | M4.04 | Understanding | 7 | 15mnts |
| XIV | M4.04 | Understanding | 7 | 15mnts (6x15=90mnts) |

Course: Business Regulatory Framework

Blue Print

Mark Distribution

| Module | Hr / mo | Marks/ | Type of Questions | | | |
|---|---|---|---|---|---|---|
| | | | Part A | Part B | Part C | Total |

| | | | No. of questions | Marks | No. of questions | Marks | No. of questions | Marks | No. of questions | Marks |
|---|---|---|---|---|---|---|---|---|---|---|
| 1 | 13 | 25 | 2 | 2 | 3 | 9 | 2 | 14 | 7 | 25 |
| 2 | 10 | 22 | 2 | 2 | 2 | 6 | 2 | 14 | 6 | 22 |
| 3 | 21 | 39 | 2 | 2 | 3 | 9 | 4 | 28 | 9 | 39 |
| 4 | 14 | 37 | 3 | 3 | 2 | 6 | 4 | 28 | 9 | 37 |
| Total | 60 | 123 | 9 | 9 | 10 | 30 | 12 | 84 | 31 | 123 |

Blue Print
Cognitive Level Mark Distribution

| Cognitive Level | Marks | % of Marks |
|---|---|---|
| Remembering | 36 | 29% |
| Understanding | 71 | 58% |
| Applying | 16 | 13% |
| Analysing | - | - |
| Evaluating | - | - |
| Creating | - | - |
| TOTAL | 123 | 100% |

**SCHEME MODEL QUESTION PAPER SET - II**
**BUSINESS REGULATORY FRAME WORK**

| Qn.No | Scoring Indicator | Marks |
|---|---|---|
| | | |

| | | |
|---|---|---|
| I | PART A | |
| 1 | "Every promise and every set of promises, forming consideration for each other , is an agreement" | All answers are compulsory. Each answer carries 1 mark |
| 2 | Performance of contract means fulfilment of legal obligations created by the contract. | |
| | Transfer of ownership right | |
| 3 | Section 12(3) | |
| 4 | Board of directors | |
| 5 | Any person in accordance with whose directions or instructions the Board of | |
| 6 | Directors or any one or more of the directors is or are accustomed to act. | |
| | Annual General Meeting | |
| | Proceedings | |
| 7 | It is a formal way in which a company can note decisions that are made at a | |
| 8 | meeting of company members. | |
| 9 | PART B | |
| II | On the basis of legality contracts are classified into Valid contract, Void contract, Voidable contract, Illegal contract and Unenforceable contract | (9x1=9) |
| 1 | The contract is voidable at the option of A because the consent was obtained by use of force. A can put an end to his contract , if he so decides | |
| 2 | Fraud is an intentional misstatement of facts which are material for the formation of a contract. The essentials of fraud are:- | |
| 3 | 1)making a false suggestion as to a fact<br>2)active concealment of a fact<br>3)a promise without intention to perform<br>4)any other act fitted to deceive<br>5)representation of fact to deceive<br>6)the party subjected to fraud suffered loss | Candidate can select 8 questions out of 10 for answering. Each answer carries 3 marks |
| 4 | Sale / Mortgage<br>The buyer becomes absolute owner of the goods sold / Ownership of the goods remains in the mortgagor<br>Ownership is completely transferred from the seller to the buyer / Only the possession is transferred and not ownership<br>Consideration is the price / Consideration is the advance of the loan and the securing of the debt<br>R could recover the full price from S because there was a breach of condition as to title as S had no right to sell the car | |
| 5 | The person must have completed the age of 18 or above<br>Nationality can be that of Indian or otherwise<br>The person should have his own DSC through which DIN shall be obtained | |
| 6 | The person has to furnish a written declaration expressing his consent to act in the position of director and he is not a person who falls under the category of disqualified members<br>There is no academic qualification that needs to become a director.<br>A director nominated by any financial institution in pursuance of the provisions of any law for the time being in force, or of any agreement or appointed by any Govt. or any other person to represent its interests. | |
| 7 | | |

Independent director acts as a guide to the company. His role included improving corporate credibility and governance standards functioning as a watch dog and playing a vital role in risk management. He takes an active role in various committees setup by company to ensure good governance.

8

The time of the meeting proposed is wrong. As per Companies Act the time for conducting a valid meeting is in business hours ie; between 9am to 6pm

Date and time of meting, Names of the participants, Purpose of the meeting, Agenda items and topics to be discussed, Action items, Next meeting date and place, Documents to be included in the meeting.

9

PART C

Offer and acceptance, Intention to create legal relations, Lawful consideration, Lawful object, Capacity of parties, Free consent, Agreement not declared void, Possibility of performance, clear terms and conditions, Legal formalities. (8x3=24)

10

OR

Novation: Substitution of a new contract for the existing one.
Rescission: Cancellation of the original contract
Alteration: A change in one or more of the material terms of the contract.
Remission: Acceptance of a lesser sum than what was contracted for

III

Waiver: Abandonment of a right which a person is entitled to
Merger: An inferior right according to a party, under a contract merges into a superior right accruing to the same party either under the same or the other contract.

IV

Accord and Satisfaction: Accord is the promise to accept less amount than what is due under the contract. Satisfaction means the payment of the lesser obligation.

The candidate should answer all questions accordingly.

| Sale | Hire purchase |
|---|---|
| It may be made orally or in writing | It must be in writing |
| Ownership of the goods is immediately transferred to the buyer | Ownership is transferred only when all the number of instalments are paid |
| The position of the buyer is that of the owner | The position of the hire purchaser Iis that of the bailee |
| The buyer can resell the goods | The hire purchaser cannot resell the goods unless he has paid all the instalments |
| It is governed by the Sale of Goods Act, 1930 | It is governed by the Hire Purchase Act 1972 |
| The seller takes the risk of any loss resulting from the insolvency of the buyer | The owner takes no such risk. The owner has the right to take back the goods if the hirer fails to pay the amount. |

V

OR

<u>Implied conditions</u>
Condition as to title , Condition as to description , Condition as to sample, Condition as to fitness and quality, Condition as to merchantability, Condition as to custom, Condition as to wholesomeness
<u>Implied warranties</u>
Warranty of quiet possession, Warranty of freedom from encumbrances, Warranty as to usage of trade, Warranty to disclose dangerous nature of goods

Powers of Board of directors:-

| | | |
|---|---|---|
| VI | Make calls on shares<br>Authorise the buy back of securities and shares<br>Issue securities and shares<br>Borrow monies<br>Investing the funds<br>Grant loans<br>Approve the financial statement<br>OR | |
| VII | The company will hold a board meeting by giving seven days of clear notice<br>The board will discuss and decide whether to accept the resignation<br>Pass a board resolution accepting the resignation<br>Form DIR 11has to be filed by the outgoing director along with the board resolution<br>The company must file with the Registrar DIR 12 along with resignation letter and the board resolution<br>The name of the director will be removed from the master data of the company. | |
| VIII | (a) Who in the opinion of the Board, is a person of integrity and possesses relevant industrial expertise and experience<br>(b) Such individual shall not be a promoter or related to promoter of the company or its holding, subsidiary or associate company<br>(c) Such individuals must not have any material or pecuniary relationship during the two immediately preceding financial years or during the current financial year with the company or its promoters/directors/holding/subsidiary/ associate company<br>(d) The relatives of such person should not have had any pecuniary relationship with the company or its subsidiaries<br>(e) He must not either directly or any of his relatives -<br>(i) hold or has held the position of a key managerial personnel or is or has been employee of the company or its holding, subsidiary or associate company in any of the three financial years immediately preceding the financial year in which he is proposed to be appointed. | |
| IX | (ii) is or has been an employee or proprietor or a partner, in any of the three financial years immediately preceding the financial year in which he is proposed to be appointed, of –<br>(A) a firm of auditors or company secretaries in practice or cost auditors of the company or its holding, subsidiary or associate company; or<br>(B) any legal or a consulting firm that has or had any transaction with the company, its holding, subsidiary or associate company amounting to ten per cent or more of the gross turnover of such firm;<br>(iii) holds together with his relatives two per cent or more of the total voting power of the company; or<br>(iv) is a Chief Executive or director, by whatever name called, of any non-profit organisation that receives25% or more of its receipts from the company, any of its promoters, directors or its holding, subsidiary or associate company or that holds 2% or more of the total voting power of the company, then also he is not eligible for office of independent director; or<br>(f) who possesses such other qualifications as prescribed in Rule 5 of the Companies(Appointment and Qualification of Directors) Rules, 2014 as an independent director shall possess appropriate skills, experience and knowledge in one or more fields of finance, law, management, sales, marketing, administration, research, corporate governance, technical operations or other disciplines related to the company's business<br>OR<br>1)Formulation and recommend to the board, a corporate social responsibility | |

| | | |
|---|---|---|
| | policy which shall indicate the project or activities to be undertaken by the company.<br>2)Reviewing with the CSR management, the quarterly financial statement before submission to the board for approval<br>3)Recommend the amount of expenditure to be incurred on CSR projects or activities undertaken<br>4)T oconstitute management committee for implementation and execution of CSR activities<br>5)Shall institute a transparent monitoring mechanism for implementation of CSR projects undertaken by the company<br>6)Reviewing performance of the company in the areas of CSR<br>7)Submit an annual report of CSR projects to the board<br>8)Monitoring CSR policy from time to time. | |
| X | 1) Every company shall hold its first board meeting within 30 days from the date of incorporation.<br>2)After the first board meeting, every company shall hold minimum four board meetings in a calendar year<br>3)In holding board meeting, there shall not be more than 120 days gap between two consecutive board meetings<br>4)The above gap of 120 days stand extended by a period of 60 days till next two quarters<br>5)In case of one person company, dormant company, small companies. one board meeting shall be conducted which shall not be less than 90 days<br>6)In case of specified IFSC private company and specified IFSC public co shall hold its first board meeting within 60 days from the date of incorporation and thereafter shall held at least one meeting in each half of a calendar year.<br>7) Every officer whose duty is to give notice fails to do so shall be liable toa penalty of Rupees twenty five thousand. | |
| | OR | |
| XI | <u>Agenda of AGM</u><br>1 )Secretary to read the notice convening the meeting<br>2)The representative of the auditors or in their absence the secretary to read the Auditor's report<br>3)The chairman to enquire whether the reports of directors and auditors circulated are taken as read by the members<br>4)The chairman to address the meeting<br>5)The chairman to speak about the prosperity and future of the firm<br>6)The chairman to move on the approval of reports of the company circulated among shareholders<br>7)To second the motion above<br>8)Discussions invited<br>9)Answering questions put forward and declaration of the results<br>10)The chairman to move for the declaration of dividend<br>11)Company auditors to be reappointed after making discussions with the member<br>12)The chairman to propose vote of thanks | |
| XII | a) The intention to propose the resolution as a special resolution has been duly specified in the notice calling the general meeting or other intimation given to the members of the resolution<br>b)The notice required under this act has been duly given<br>c)The votes cast in favour of the resolution, whether on a show of hands , or electronically or on a poll, as the case may be by members who, being entiled | |

| | | |
|---|---|---|
| | so to do, vote in person or by proxy or by postal ballot, are required to be not less than three times the number of the votes, if any cast against the resolution by members so entitled and voting.<br>OR<br>1)Only one motion can be moved at a time<br>2)A motion should preferably be placed in writing , signed by the mover<br>3)The wording must be properly made so that it can be converted into resolution in proper form. Generally the help of the secretary is sought in the respect as he is an expert in this line<br>4)Usually the language of a motion is affirmative.an intention to do something. So formal motion may be negative.<br>5)The language shall be clear and unambiguous<br>6)It shall be within the power of the body that is holding the meeting<br>7)It shall be within the scope of the notice. | |
| XIII | ---------- | (6x7=42) |
| | Scheme of valuation<br><br>PART A<br><br>Give 1 mark for each answer as per the answer key<br><br>PART B | |
| XIV | Give full mark for the answer as per answer key<br>1.5 mark for identification of contract and 1.5 mark for the effect of contract<br>Give .5 mark for each for point(6x.5)<br>Give 1 mark for one point<br>1.5 marks each for answer to the question and effect of breach of condition<br>Give full mark for the answer as per answer key<br>Give full mark for the answer as per answer key<br>Minimum 3 points. Give 1 mark for each point<br>Give full mark as per answer key<br>Give full marks for the correct answer as per answer key. Proportionate marks can be given to the points (.5 mark for each point)<br><br>PART C | |
| Qn.No | Give full marks for the correct answer as per answer key. Proportionate marks and be given for points.<br>Give one mark for each point with explanation as per answer key<br>Give full marks as per answer key. Proportionate marks for points<br>Give 4 marks for implied condition and three marks for implied warranty<br>1 mark for each point. Minimum seven points<br>Give full marks as per answer key | |
| I | Minimum seven points one mark for each point<br>Minimum seven points .One mark for one point | |
| II | Minimum seven points. One mark for each point<br>Any seven points . One mark for each point | |

| | | |
|---|---|---|
| | Give full marks as per answer key. Proportionate marks for points. | Marks |
| 1 | Minimum seven points. One mark for each point. | (9x1=9) |
| 2 | | |
| 3 | | |
| 4 | | |
| 5 | | 3 |
| 6 | | 3 |
| 7 | | 3 |
| 8 | | 3 |
| 9 | | 3 |
| 10 | | 3 |
| | | 3 |
| | | 3 |
| | | 3 |
| | | 3 |
| | | (8x3=24) |
| III | | |
| IV | | |
| V | | |
| VI | | |
| VII | | |
| VIII | | 7 |
| IX | | 7 |
| X | | 7 |
| XI | | 7 |
| XII | | 7 |
| XIII | | 7 |
| XIV | | 7 |
| | | 7 |
| | | 7 |
| | | 7 |
| | | 7 |
| | | 7 |
| | | (6x7=42) |